f. Annex A.6 - Receipt of Returned Semi-expendable Property (RRSP)
g. Annex A.7 - Report of Semi-expendable Property Issued (RSPI)
h. Annex A.8 - Report on the Physical Count of Semi-expendable Property (RPCSP)
i. Annex A.9 - Report of Lost, Stolen, Damaged or Destroyed Semi-expendable Property (RLSDDSP)
j. Annex A.10 - Inventory and Inspection Report of Unserviceable Semi-expendable Property (IIRUSP)

5. In addition, emphasis is also given to Annex B of the abovementioned Circular which provides the different procedures:

I. Procedures in the Receipt, Inspection, Acceptance, and Recording of Deliveries of Semi-expendable Property.
II. Procedures in the Requisition and Issue of Semi-Expendable Property
III. Procedures in the Transfer, Return, Re-issue, and Disposal of Semi expendable Property.

6. The Circular shall take effect 15 days after its publication in a newspaper of general circulation.

7. **As the issuance aims to utilize public funds efficiently, all concerned are required to carefully study the provisions and be guided accordingly.**

8. Immediate and wide dissemination, and compliance with this Memorandum is desired.

CARLEEN S. SEDILLA CESO V
Schools Division Superintendent

Encl.: As stated
To be indicated in the **Perpetual Index:**
Under the following subjects:
POLICY
RULES AND REGULATIONS
REPORTS

JIL/MEMO ON COA CIRCULAR 2022-004
138 /June 27,2022

REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

COMMISSION ON AUDIT RECEIVED 6/1/2022 11:32am DATE/TIME RECORDS MANAGEMENT SERVICES

CIRCULAR

No. : 2022-004
Date : MAY 31 2022

TO : All Heads of the National Government Agencies (NGAs) and Government Corporations (GCs); Local Chief Executives; Heads of Finance/Comptrollership/Financial Management Services; Chief Accountants/Heads of Accounting Units; Budget Officers/Heads of Budget Units; Heads of Property and/or Supply Division/Unit; Commission on Audit (COA) Assistant Commissioners, Directors, Auditors; and All Others Concerned

SUBJECT : Guidelines on the Implementation of Section 23 of the General Provisions of Republic Act (RA) No. 11639 also known as the General Appropriations Act (GAA) for Fiscal Year (FY) 2022 relative to the increase in the capitalization threshold from P15,000.00 to P50,000.00

1.0 RATIONALE

1.1 Section 23[1] of the General Provisions of RA No. 11639 or the FY 2022 GAA provides that tangible items below P50,000.00 shall be accounted as semi-expendable property. The increase in the capitalization threshold was envisioned to lead to a more efficient utilization of funds in the procurement of goods. However, as stated in the President's Veto Message, the implementation of the provision for the increase in the capitalization threshold from below P15,000.00 to below P50,000.00 shall be subject to the issuance by COA of appropriate accounting and auditing rules and regulations.[2] Pending the issuance from COA, the agencies/entities shall still apply the existing accounting and auditing rules and regulations.

1.2 In view of the abovementioned developments and in consonance with the rule-making function of this Commission as provided under Section 2(2)[3] of Article

[1] Semi-expendable Property. Tangible items below Fifty Thousand Pesos (P50,000.00) shall be accounted as semi-expendable property. (CONDITIONAL IMPLEMENTATION - President's Veto Message, December 30, 2021, Volume I-B, page 819, Republic Act (RA) No. 11639)

[2] RA No. 11639 or the General Appropriations Act (GAA) FY 2022. President's Veto Message.

[3] The Commission shall have exclusive authority, subject to the limitations in this Article, to define the scope of its audit and examination, establish the techniques and methods required therefor, and promulgate accounting and auditing rules and regulations, including those for the prevention and disallowance of irregular,

IX-D of the 1987 Philippine Constitution and Section 25(4),[4] Chapter 2, Title I of Presidential Decree (PD) No. 1445 or the Government Auditing Code of the Philippines, this Circular is issued to prescribe the guidelines on the implementation of Section 23 of the General Provision of FY 2022 GAA.

2.0 COVERAGE

This Circular shall be implemented by all NGAs, Local Government Units (LGUs), and GCs.

3.0 DEFINITION OF TERMS

For the purpose of this Circular, the following terms shall be construed to mean as follows:

3.1 Semi-expendable property – tangible items which meet the definition and recognition criteria of Property, Plant and Equipment (PPE), but below the capitalization threshold of P50,000.00.

3.2 Capitalization threshold – refers to the monetary value at which an entity elects to capitalize tangible assets that are used in operations and that have initial useful lives extending beyond a single reporting period.

3.3 Current Replacement Cost – is the cost the entity would incur to acquire the asset on the reporting date.[5]

3.4 Tangible Assets/Items – are identifiable non-monetary assets with physical substance.

4.0 IMPLEMENTING GUIDELINES

4.1. Tangible items which meet the definition and recognition criteria of PPE but cost is below Fifty Thousand Pesos (P50,000.00) shall be accounted in the books of accounts of the agencies as semi-expendable property. This shall be supported by the issuance of the Inventory Custodian Slip (ICS) to establish accountability of the end-user. ICS shall be issued to the end-user and shall be renewed every three years or every time there is a change in custodianship/user of the property. The threshold shall be applied on an individual asset or per item basis. Each item within the bulk acquisition such as library books, small equipment, computer

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unnecessary, excessive, extravagant, or unconscionable expenditures or uses of government funds and properties.

[4] To promulgate auditing and accounting rules and regulations so as to facilitate the keeping, and enhance the information value, of the accounts of the government.

[5] Par. 9, International Public Sector Accounting Standards (IPSAS) 12-*Inventories* (2019 version).

peripherals, work animals, and the like, will need to meet the amount of below P50,000.00 to be recognized as semi-expendable property.

4.2. The increase in the capitalization threshold from P15,000.00 to P50,000.00 shall be considered as a change in accounting policy and shall be applied retrospectively. It means that the new capitalization threshold of P50,000.00 shall be applied for all tangible items purchased in calendar year (CY) 2022 onwards and in the prior years.

4.3. For issued tangible items acquired prior to CY 2022 with amounts from P15,000.00 to below P50,000.00 previously classified as PPE:

a. The carrying amount shall be expensed/charged to the following accounts, as applicable:

i. Accumulated Surplus/(Deficit) for NGAs and GCs classified as Non-Commercial Public Sector Entities;

ii. Retained Earnings/(Deficit) for GCs classified as Commercial Public Sector Entities; or

iii. Prior Period Adjustment and Government Equity for LGUs.

b. The corresponding accumulated depreciation and accumulated impairment loss shall be closed in the books of accounts.

c. The existing Property Acknowledgment Receipts (PARs) for these items may be retained by the end-users and shall serve as the ICS until their accountabilities for such items are extinguished. Thus, the existing PARs need not be replaced with new ICSs.

d. For additional control and safeguard, please refer to paragraphs 4.8.b. and 4.9.b of this Circular.

4.4. For tangible items acquired prior to CY 2022 with amounts from P15,000.00 to below P50,000.00 previously classified as PPE which are still in the custody of the Supply and/or Property Division/Unit:

a. These items shall be reclassified to the appropriate semi-expendable property account.

b. The Property Cards being maintained by the Supply and/or Property Division/Unit for these items shall serve as Semi-Expendable Property Card (SPCs) until these items are issued.

c. The Property, Plant and Equipment Ledger Cards being maintained by the Accounting Division/Unit for these items shall serve as Semi-Expendable Property Ledger Cards (SPLCs) until these items are issued.

4.5. For tangible items acquired prior to CY 2022 with amounts below P15,000.00 which are already classified as semi-expendable property and are still in the custody of the Supply and/or Property Division/Unit:

a. The Stock Cards being maintained by the Supply and/or Property Division/Unit for these items shall serve as SPCs until these items are issued.

b. The Supplies Ledger Cards being maintained by the Accounting Division/Unit for these items shall serve as SPLCs until these items are issued.

4.6. A change in accounting policy requires retrospective application. The entity shall adjust the opening balance of each affected component of net assets/equity for the earliest period presented, and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied.[6] It means that the entity shall restate the amounts for prior period/s in the comparative financial statements to reflect the change in accounting policy.

4.7. To strengthen controls over the semi-expendable property, the following forms, registry, and reports are prescribed as annexes:

4.7.1. Annex A.1 – Semi-Expendable Property Card (SPC)

This form shall be maintained in the Supply and/or Property Division/Unit for each class of semi-expendable property to record promptly the acquisition (based on the Inspection and Acceptance Report and other supporting documents), issue/transfer/disposal and the description/ information about the asset.

4.7.2. Annex A.2 – Semi-Expendable Property Ledger Card (SPLC)

This form shall be kept in the Accounting Division/Unit to record promptly the acquisition, description, custody, impairment, issue/transfer/disposal, repair history, and other information about the property.

[6] Third paragraph of Section 38, Chapter 19-Financial Reporting, Volume I of the Government Accounting Manual for National Government Agencies.

4.7.3. Annex A.3 – Inventory Custodian Slip (ICS)

This form is used by the Property and/or Supply Division/Unit to issue tangible items amounting to less than P50,000.00 to end-user to establish accountability over them.

4.7.4. Annex A.4 – Registry of Semi-Expendable Property Issued (RegSPI)

This registry shall be maintained in the Property and/or Supply Division/Unit for each class of issued semi-expendable property. The Property and/or Supply Custodian shall record promptly the issue, return, reissue, disposal, and other information about the property if returned and the description/information about the asset. It shall be maintained by fund. ICS shall be maintained continuously and recorded in sequential manner to keep track of any missing ICS. *(Note: This functions similarly to SPC, however only a registry is recommended to be maintained since issued semi-expendable property are already derecognized in the books of accounts.)*

4.7.5. Annex A.5 – Inventory Transfer Report (ITR)

The report shall be used every time there is a transfer of inventory such as donation, reassignment, relocation, and the like, from an outgoing officer to his successor or from one accountable officer/employee to another of the same or another entity, or from one entity/agency to another entity/agency.

4.7.6. Annex A.6 – Receipt of Returned Semi-Expendable Property (RRSP)

This form shall be prepared by the Accountable Officer for returned semi-expendable property whether serviceable or unserviceable.

4.7.7. Annex A.7 – Report of Semi-Expendable Property Issued (RSPI)

This report shall be prepared by the Property and/or Supply Division/Unit to report/summarize all issued semi-expendable property (by semi-expendable property number) at least weekly. It shall be prepared by the Property and/or Supply Custodian based on the ICS and shall be used by the Accounting Division/Unit as basis in preparing the journal entry voucher to recognize the semi-expendable property issued.

In this form, the ICS No. is indicated and the agency can check anytime if there are missing ICS at hand since ICS is the only accountability form for the issuance of semi-expendable property. Proper keeping and monitoring of the ICS by the Property/Supply Officer is recommended.

The Property/Supply Officer shall conduct periodic monitoring of all ICS issued to ensure that the accountability of concerned employees is checked.

4.7.8. Annex A.8 – Report on the Physical Count of Semi-Expendable Property (RPCSP)

This form shall be used to report the physical count of semi-expendable property, which are owned by the agency/entity, by type of property still in the custody of the Property and/or Supply Division/Unit as at a given date. It shows the balance of semi-expendable items per card and per count and shortage/overage, if any. It shall be prepared annually and by fund by the Inventory Committee.

4.7.9. Annex A.9 – Report of Lost, Stolen, Damaged or Destroyed Semi-Expendable Property (RLSDDSP)

This report shall be used by the accountable officer/employee to report or notify within 30 days the officials concerned of the loss, theft, damage or destruction of the semi-expendable property whether issued or unissued. The RLSDDSP shall support the subsequent request for relief from property accountability.

4.7.10. Annex A.10 – Inventory and Inspection Report of Unserviceable Semi-Expendable Property (IIRUSP)

This report shall be used to account for all unserviceable semi-expendable property of an entity which is subject to disposal. It shall be prepared by the Property and/or Supply Division/Unit.

4.8. For additional control and to safeguard the semi-expendable property considering that more valuable items shall be covered by the new capitalization threshold, the semi-expendable property shall be classified into two categories:

a. Low-valued items – cost of each item is P5,000.00 or less; and

b. High-valued items – cost of each item is more than P5,000.00 but less than P50,000.00.

4.9. The accountability for semi-expendable property shall also be segregated based on a categorization, as follows:

a. Low-valued items – accountability shall be extinguished upon expiration of the estimated useful life, or upon return of the property before the end of its useful life, whether serviceable or non-serviceable, to the Property and/or Supply Division/Unit; and

b. High-valued items – accountability shall only be extinguished upon return of the item to the Property and/or Supply Division/Unit or in case of loss, upon approval of the request for relief from property accountability, regardless of the expiration of the estimated useful life.

4.10. Upon expiration of the estimated useful life for low-valued semi-expendable property, the issued ICS to end-user shall be automatically cancelled. The end of its useful life means the end of the accountability of the end-user. However, if the low-valued semi-expendable property is deemed unserviceable before the end of its useful life, it shall be returned to the Property and/or Supply Division/Unit for cancellation of the ICS and proper disposal. The return of low-valued items by the end-user shall be recorded in the IIRUSP. Another/New semi-expendable property of the same nature or use shall not be issued, unless justifiable, before the expiration of the estimated useful life or cancellation of the ICS previously issued to the end-user.

4.11. For issued high-valued semi-expendable property which have become unserviceable, these shall be reported by the Property/Supply Officer in the IIRUSP upon return by the end-user.

4.12. The agency shall determine/provide the estimated useful life of each semi-expendable property, subject to post-audit of the COA auditors concerned. The agency is in the best position to estimate the useful life of their semi-expendable property. The agency shall also issue an updated policy/memorandum determining/providing the estimated useful life, as necessary.

4.13. To serve as a guide, a range of estimated useful life per class is provided, as follows:

- Semi-Expendable Machinery and Equipment - 5 to 15 years
- Semi-Expendable Furniture, Fixtures and Books - 2 to 15 years

The above life span of semi-expendable property may be used unless a more appropriate estimated useful life of semi-expendable property is determined by the agency based on the nature of its operation and mission, among others.

Based on the above life spans, the entity shall prepare the specific estimated useful life for each semi-expendable property based on its experience on the life of its asset, and copy furnished the COA auditors.

4.14. For proper maintenance of ICS, the Property and/or Supply Division/Unit shall assign separate ICS control number for low-valued items and high-valued items. Segregation of ICS for semi-expendable property will ensure proper monitoring of accountability particularly for high-valued items which accountability only

expires after the return of the item or in case of loss, upon approval of the request for relief from property accountability.

4.15. The acquisition of a semi-expendable property shall comply with the prevailing procurement policies and procedures prescribed in RA No. 9184[7] and its Revised Implementing Rules and Regulations.

4.16. Semi-expendable property shall be covered by the policies of International Public Sector Accounting Standard (IPSAS) 12–*Inventories*. Hence, they are not subject to depreciation but subject to impairment.

4.17. When high-valued semi-expendable property is lost by the end-user, the accountable officer shall apply the existing policies and guidelines for request for relief from property accountability of lost government property.

4.18. In case of loss of unissued semi-expendable property, the Property/Supply Officer shall notify the Accounting Department thru the RLSDDSP, which serves as the Notice of Loss, as basis for the derecognition in the books of account. The loss shall be charged to account "Loss of Assets" at its carrying amount and credited to the appropriate inventory account – semi-expendable. Should the Property/ Supply Officer fail to file pursuant to Section 73 of the PD No. 1445 and Section 5 of the 2009 Revised Rules of Procedure of the COA a request for relief from accountability within 30 days from date of submission of RLSDDSP, the Chief Accountant shall record a debit to "Due from Officers and Employees" account and a credit to "Other Deferred Credits" account the amount of the loss. Once the request for relief from property accountability is granted, the latter accounting entry shall be reversed.

4.19. When a semi-expendable property is lost before the end of its useful life in the possession of the official/employee to whom it is issued, the loss shall be recorded by the Chief Accountant upon the receipt of RLSDDSP as debit to "Due from Officers and Employees" and a credit to the account "Other Deferred Credits" at its Current Replacement Cost with the same condition and specifications of the lost semi-expendable property at the time of loss.

4.20. Annex B of this Circular enumerates the procedures to be followed in the Receipt, Inspection, Acceptance and Recording of Deliveries of Semi-Expendable Property; Procedures in the Requisition and Issue of Semi-Expendable Property; and Procedures on the Transfer, Return, Re-issue and Disposal of Semi-Expendable Property.

[7] Government Procurement Reform Act.

5.0 SAVING CLAUSE

Any clarification or request for assistance on the implementation of this Circular or cases not covered herein shall be referred to this Commission through the Government Accountancy Sector.

6.0 REPEALING CLAUSE

All circulars, memoranda, and other issuances or any parts thereof inconsistent with the provisions of this Circular are hereby amended, modified, or revoked accordingly.

7.0 EFFECTIVITY

This Circular shall take effect 15 days after its publication in a newspaper of general circulation.

COMMISSION ON AUDIT
OFFICE OF THE COMMISSION SECRETARIAT

RIZALINA NOVAL JUSTOL
Chairperson

ROLAND CAFÉ PONDOC
Commissioner

MARIO GONZALES LIPANA
Commissioner

Annex A.1

SEMI-EXPENDABLE PROPERTY CARD

Entity Name : _____ **Fund Cluster:** _____

Semi-expendable Property:								**Semi-expendable Property Number:**		
Description :										
Date	**Reference**	**Receipt**			**Issue/Transfer/ Disposal**			**Balance**	**Amount**	**Remarks**
		Qty.	Unit Cost	Total Cost	Item No.	Qty.	Office/Officer	Qty.		

SEMI-EXPENDABLE PROPERTY CARD
(SPC)

INSTRUCTIONS

A. The SPC shall be maintained in the Property and/or Supply Division/Unit for each class of semi-expendable property. The Property and/or Supply Custodian shall record promptly the description/information about the asset, acquisition (based on the Inspection and Acceptance Report and other supporting documents), and its issuance/transfer/disposal. It shall be maintained by fund cluster.

B. This form shall be accomplished as follows:

1. **Entity Name** – name of the agency/entity
2. **Fund Cluster** – the fund cluster name/code in accordance with the unified accounts code structure
3. **Semi-expendable Property** – type of semi-expendable property
4. **Description** – description of the semi-expendable property (i.e., brand, size, color, serial no., etc.)
5. **Semi-expendable Property No.** – number assigned by the Property and/or Supply Division/Unit to the semi-expendable property
6. **Date** – date of acquisition/issue/transfer/disposal
7. **Reference** – number assigned to the reference document used as basis in recording the receipt, issue, transfer or disposal of semi-expendable property
8. **Receipt-Qty./Unit Cost/Total Cost** – the quantity, unit cost and total cost of the semi-expendable property received
9. **Issue/Transfer/Disposal-Item No.** – item number of semi-expendable property issued to end-user, transferred to other NGAs or disposed, etc.
10. **Issue/Transfer/Disposal-Qty** – quantity of semi-expendable property issued to end-user, transferred to other NGAs or disposed, etc.
11. **Issue/Transfer/Disposal-Office/Officer** – name of agency/entity and/or accountable person receiving the transferred or issued semi-expendable property
12. **Balance-Qty** – difference between the quantity of the semi-expendable property on hand less the issued, transferred, or disposed item/s, if any
13. **Amount** – amount of semi-expendable property received based on source documents
14. **Remarks** – important information, observation or comment about the semi-expendable property being received, issued, transferred or disposed

C. Transactions shall be posted from the source documents.

D. The Report on the Physical Count of Semi-expendable Property shall be reconciled with the SPCs every year and any discrepancies should be immediately verified and adjusted.

Annex A.2

SEMI-EXPENDABLE PROPERTY LEDGER CARD

Entity Name : _____ **Fund Cluster :** _____

Semi-expendable Property:						**Semi-expendable Property No.:**			
Description:						**UACS Object Code:**		**Repair History**	
Date	**Reference**	**Receipt**			**Issues/Transfers/ Adjustment/s**	**Accumulated Impairment Losses**	**Adjusted Cost**	**Nature of Repair**	**Amount**
		Qty.	**Unit Cost**	**Total Cost**					

SEMI-EXPENDABLE PROPERTY LEDGER CARD (SPLC)

INSTRUCTIONS

A. The SPLC shall be kept in the Accounting Division/Unit for each class of semi-expendable property. The Accounting Staff in charge in maintaining the SPLC shall record promptly the acquisition, description, custody, impairment, issue/transfers/disposal, repair history, and other information about the property. It shall be maintained by fund cluster.

B. This ledger shall be accomplished as follows:

1. **Entity Name** – name of the agency/entity
2. **Fund Cluster** – the fund cluster name/code in accordance with the unified accounts code structure (UACS)
3. **Semi-expendable Property** – type of semi-expendable property
4. **Description** – description of the semi-expendable property (i.e. brand, size, color, etc.)
5. **Semi-expendable Property No.** – number assigned by the Property and/or Supply Division/Unit to the semi-expendable property
6. **UACS Object Code** – object account code in accordance with the RCA
7. **Date** – date of the source/reference document
8. **Reference** – reference documents used as the bases in recording the transactions such as JEV
9. **Receipt-Qty./Unit Cost/Total Cost** – the quantity, unit cost and total cost of the semi-expendable property received
10. **Issues/Transfers/Adjustment/s** – the cost of the semi-expendable property issued to end-user, transferred to other national government agencies, disposed, or the amount of adjustment/s made through JEV
11. **Accumulated Impairment Losses** – the amount of impairment losses charged to the semi-expendable property under the custody of the Property and/or Supply Custodian
12. **Adjusted Cost** – the difference between the total cost of the asset less the accumulated impairment losses and issues/transfers/adjustments, if any
13. **Repair History-Nature of Repair/Amount** – the nature of repair (specify nature of minor or major repair, i.e., rewiring, engine overhaul, etc.) and the cost of repair

C. Transactions shall be posted from the source documents.

D. The SPLC shall be reconciled with the Report on the Physical Count of Semi-expendable Property, Semi-expendable Property Card and the control accounts. Any discrepancies shall be immediately verified and adjusted.

Annex A.3

INVENTORY CUSTODIAN SLIP

Entity Name: _____

Fund Cluster : _____ **ICS No :** _____

Quantity	Unit	Amount		Description	Item No.	Estimated Useful Life
		Unit Cost	Total Cost			

Received from:	Received by:
_____	_____
Signature Over Printed Name	Signature Over Printed Name
_____	_____
Position/Office	Position/Office
_____	_____
Date	Date

INVENTORY CUSTODIAN SLIP
(ICS)

INSTRUCTIONS

A. The ICS is a form used by the Property and/or Supply Custodian to issue tangible items amounting to less than P50,000.00 to end-user to establish accountability over them.

B. This form shall be accomplished as follows:

1. **Entity Name** – name of the agency/entity
2. **Fund Cluster** – fund cluster name/code in accordance with UACS
3. **ICS No.** – control number assigned by the Property and/or Supply Division/Unit
4. **Quantity** – number of units of the inventory item issued to the employee or end-user concerned
5. **Unit** – unit of measurement of goods/property requested (i.e., piece, roll, box, ream, etc.)
6. **Amount:**
   - **Unit Cost** – unit cost of the inventory item
   - **Total Cost** – the total cost of the inventory item (Quantity x Unit Cost)
7. **Description** – brief description or details of the items issued to the employee concerned, including serial number in case of semi-expendable property
8. **Item No.** – item number assigned to the inventory item issued
9. **Estimated Useful Life** – estimated useful life of the item issued

C. This form shall be signed and dated by the designated Property and/or Supply Custodian on the "*Received from*" portion and by the recipient or end-user of the inventory on the "*Received by*" portion.

D. The ICS shall be prepared in two (2) copies distributed as follows:

Original	–	Property and/or Supply Division/Unit
Copy2	–	Recipient or end-user of the inventory

Annex A.4

REGISTRY OF SEMI-EXPENDABLE PROPERTY ISSUED

Entity Name : _____ **Fund Cluster:** _____

Semi-expendable Property: _____ **Sheet No. :** _____

Date	Reference		Item Description	Estimated Useful Life	Issued		Returned		Re-issued		Disposed	Balance	Amount	Remarks
	ICS/RRSP No.	Semi-expendable Property No.			Qty.	Office/Officer	Qty.	Office/Officer	Qty.	Office/Officer	Qty.	Qty.		



REGISTRY OF SEMI-EXPENDABLE PROPERTY ISSUED (RegSPI)

INSTRUCTIONS

A. The RegSPI shall be maintained in the Property and/or Supply Division/Unit for all issued semi-expendable property. The Property and/or Supply Custodian shall record promptly the issue, return, reissue, disposal, and other information about the property if returned, and the description/information about the asset. It shall be maintained by fund cluster. Inventory Custodian Slip (ICS) shall be maintained continuously and recorded in sequential manner to keep track of any missing ICS.

B. It shall be accomplished as follows:

1. **Entity Name** – the name of the agency/entity
2. **Semi-expendable Property** – type of semi-expendable property
3. **Fund Cluster** – fund cluster name/code in accordance with unified accounts code structure
4. **Sheet No**. – the sheet/page number
5. **Date** – the date of the reference document/s
6. **Reference-ICS/Receipt of Returned Semi-expendable Property (RRSP) No.** – number assigned to the reference document used as basis in recording the issue and re-issue (ICS) and return (RRSP) of semi-expendable property
7. **Reference-Semi-expendable Property No.** – number assigned by the Property and/or Supply Division/Unit to the semi-expendable property
8. **Item Description**- description of semi-expendable property issued
9. **Estimated Useful Life** - estimated useful life of the semi-expendable property issued
10. **Issued-Qty** – quantity of semi-expendable property issued to end-user
11. **Issued-Office/Officer** – name of agency/entity and/or accountable person receiving the issued semi-expendable property
12. **Returned -Qty** – quantity of semi-expendable property returned by the predecessor end-user
13. **Returned Office/Officer** – name of agency/entity and/or accountable person who returned the semi-expendable property
14. **Re-Issue-Qty** – quantity of semi-expendable property re-issued to new end-user
15. **Re-Issue-Office/Officer** – name of agency/entity and/or accountable person receiving the re-issued semi-expendable property
16. **Disposed-Qty** – quantity of returned semi-expendable property actually disposed
17. **Balance-Qty** – difference between the quantity of the semi-expendable property issued less the returned, reissued and disposed, if any
18. **Amount** – acquisition cost of semi-expendable property in the original ICS
19. **Remarks** – important information, observation or comment about the semi-expendable property being issued, returned, re-issued and disposed

Annex A.5

INVENTORY TRANSFER REPORT

Entity Name : _____ **Fund Cluster :** _____

From Accountable Officer/Agency/Fund Cluster : _____ To Accountable Officer/Agency/Fund Cluster : _____	ITR No. : _____ Date : _____

Transfer Type: (check only one)

☐ Donation ☐ Relocate
☐ Reassignment ☐ Others (Specify) _____

Date Acquired	Item No.	ICS No./Date	Description	Amount	Condition of Inventory

Reason/s for Transfer:

_____
_____
_____
_____
_____

	Approved by:	Released/Issued by:	Received by:
Signature :	_____	_____	_____
Printed Name :	_____	_____	_____
Designation :	_____	_____	_____
Date :	_____	_____	_____

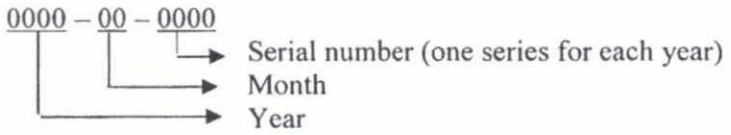
INVENTORY TRANSFER REPORT (ITR)

INSTRUCTIONS

A. This form shall be used every time there is a transfer of inventory such as donation, reassignment, relocation, and the like, from an outgoing officer to his successor or from one Accountable Officer/Employee/Agency/Fund Cluster to another Accountable Officer/ Employee/Agency/Fund Cluster.

B. It shall be accomplished as follows:

1. **Entity Name** – name of the agency/entity
2. **Fund Cluster**– the fund cluster name/code based on unified accounts code structure
3. **From Accountable Officer/Agency/Fund Cluster** – name of the accountable officer/ agency/fund cluster where the inventory is located
4. **To Accountable Officer/Agency/Fund Cluster** – name of the accountable officer/ agency/fund cluster where the inventory is to be transferred
5. **ITR No.** – number assigned to the report by the Property and/or Supply Custodian for control purposes which shall be as follows:



6. **Date** – date of the preparation of the ITR
7. **Transfer Type** – put a check "√" mark in the appropriate box corresponding to the type of transfer
8. **Date Acquired** – acquisition date of the inventory
9. **Item No.** – item number assigned to the inventory transferred
10. **ICS No./ Date** - number and date assigned to the ICS used as basis in recording the semi-expendable property transferred
11. **Description** – brief description or details of the inventory including serial number, if any
12. **Amount** – acquisition cost of the inventory
13. **Condition of Inventory** – present condition of the inventory transferred
14. **Reason/s for Transfer** – reason/s for the transfer of inventory (i.e., retirement, reassignment or disposal, donation, etc.)
15. **Approved by** – signature over printed name and designation of Agency/Entity Head for transfer to another agency or Head of Property and/or Supply Unit in case of property transfer to another accountable officer and the date of approval. In case, the Head of Property and/or Supply Division/Unit is also the releasing Supply Officer, the immediate Supervisor will be the signatory
16. **Released/Issued by** – signature over printed name and designation of the assigned releasing officer of the Property and/or Supply Unit and specify the date released
17. **Received by** – signature over printed name and designation of the assigned receiving officer of an agency/entity or employee/user and also indicate the date of receipt

C. In case of transfer of inventory/asset from one agency/entity to another, a copy of the JEV of the transferring agency/entity shall be attached to Copy 2 of this report.

D. It shall be prepared in four (4) copies distributed as follows:

Original – Chief Accountant or Head of Accounting Division/Unit
Copy 2 – Recipient or user of the inventory
Copy 3 – Transferring agency/entity or user/officer
Copy 4 – Property and/or Supply Unit file

Annex A.6

RECEIPT OF RETURNED SEMI-EXPENDABLE PROPERTY

Entity Name:	**Date:**
	RRSP No.:

This is to acknowledge receipt of the returned Semi-expendable Property

Item Description	Quantity	ICS No.	End-user	Remarks

Returned by:

_____
End User

_____
Date

Received by:

_____
Head, Property and/or Supply Division/Unit

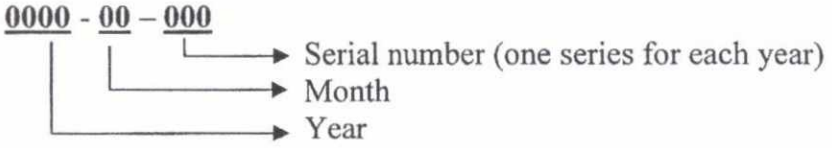
_____
Date

RECEIPT OF RETURNED SEMI-EXPENDABLE PROPERTY (RRSP)

INSTRUCTIONS

A. This form shall be prepared by the Accountable Officer for returned semi-expendable property whether serviceable or unserviceable. It shall be accomplished as follows:

1. **Entity Name** – the name of the agency/entity
2. **Date** – date of preparation of the RRSP
3. **RRSP No.** – shall be numbered by the Property and/or Supply Division/Unit as follows:



4. **Item Description** – brief description of the returned semi-expendable property
5. **Quantity** – quantity of the returned semi-expendable property
6. **ICS No.** – Inventory Custodian Slip (ICS) number of the returned semi-expendable property
7. **End-user** – name of accountable officer/end-user returning the serviceable or unserviceable semi-expendable property
8. **Remarks** – comments (e.g. reason for the return, cancelled ICS, and other information)
9. **Returned by** – signature over printed name of the accountable officer/end-user returning the serviceable or unserviceable semi-expendable property
10. **Received by** – signature over printed name of the designated Head, Property and/or Supply Division/Unit signifying receipt of the returned serviceable or unserviceable semi-expendable property

B. The RRSP shall be prepared in three copies to be distributed as follows:

Original copy	– Accountable Officer
2nd copy	– Property and/or Supply Division/Unit Officer
3rd copy	– COA Auditor

Annex A.7

REPORT OF SEMI-EXPENDABLE PROPERTY ISSUED

Entity Name: _____ **Serial No. :** _____

Fund Cluster: _____ **Date :** _____

To be filled out by the Property and/or Supply Division/Unit						*To be filled out by the Accounting Division/Unit*	
ICS No.	**Responsibility Center Code**	**Semi-expendable Property No.**	**Item Description**	**Unit**	**Quantity Issued**	**Unit Cost**	**Amount**

I hereby certify to the correctness of the above information. _____ Signature over Printed Name of Property and/or Supply Custodian	Posted by: _____ _____ Signature over Printed Name of Designated Accounting Staff

REPORT OF SEMI-EXPENDABLE PROPERTY ISSUED (RSPI)

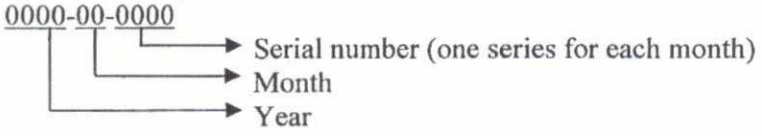
INSTRUCTIONS

A. The RSPI is a form prepared by the Property and/or Supply Division/Unit to report/ summarize all issued semi-expendable property (by semi-expendable property number) at least weekly. It shall be prepared by the Property and/or Supply Custodian based on the Inventory Custodian Slip (ICS) and shall be used by the Accounting Division/Unit as basis in preparing the JEV to recognize the semi-expendable property issued. The Property/Supply Officer shall conduct periodic monitoring of all ICS issued to ensure that the accountability of concerned employees is checked.

B. This shall be accomplished as follows:

To be filled out by the Property and/or Supply Division/Unit:

1. **Entity Name** – name of the agency/entity
2. **Fund Cluster** – fund cluster name/code in accordance with the unified accounts code structure
3. **Serial No.** – assigned RSPI number which shall be in the following manner:



4. **Date** – period covered by the report
5. **ICS No.** – ICS number served within the day
6. **Responsibility Center Code** – code of the cost/responsibility center
7. **Semi-expendable Property No.** – assigned semi-expendable property number of the item/s issued within the day per ICS
8. **Item Description** – description of semi-expendable property issued
9. **Unit** – unit of measurement of semi-expendable property issued (i.e. piece, unit, etc.)
10. **Quantity Issued** – quantity of semi-expendable property issued based on ICS
11. **Certification** – the certification as to the correctness of the report shall be signed by the Property and/or Supply Custodian

To be filled out by the Accounting Division/Unit:

1. **Unit Cost** – cost of semi-expendable property issued by the agency/entity using the weighted average method or specific identification of costs method
2. **Amount** – amount (Quantity Issued x Unit Cost) of issued semi-expendable property per Property No. within the day
3. **Posted by/date** – printed name and signature of the designated accounting staff who posted the RSPI to the Semi-expendable Property Ledger Card (SPLC) on the date of posting

C. At the end of the month, all RSPIs shall be consolidated by the Accounting Division/Unit for the preparation of the JEV.

D. The Accounting Division/Unit and Property and/or Supply Division/Unit shall conduct periodic reconciliation of the SPLCs and Semi-expendable Property Cards to identify, establish accountability and/or adjust accordingly any discrepancy.

E. The RSPI shall be prepared in two copies to be distributed as follows:

Original – Accounting Division/Unit to support the JEV drawn to record issues of stocks
Copy 2 – Property and/or Supply Custodian's file

Annex A.8

REPORT ON THE PHYSICAL COUNT OF SEMI-EXPENDABLE PROPERTY

_____
(Type of Semi-expendable Property)

As at _____

Fund Cluster : _____

For which ___*(Name of Accountable Officer)*_____, ___*(Official Designation)*___, _____*(Entity Name)*_____ **is accountable, having assumed such accountability on** ___*(Date of Assumption)*___.

Article	Description	Semi-expendable Property No.	Unit of Measure	Unit Value	Balance Per Card	On Hand Per Count	Shortage/Overage		Remarks
					(Quantity)	(Quantity)	Quantity	Value	

Certified Correct by:

_____
Signature over Printed Name of Inventory Committee Chair and Members

Approved by:

_____
Signature over Printed Name of Head of Agency/Entity or Authorized Representative

Witnessed by:

_____
Signature over Printed Name of COA Representative

REPORT ON THE PHYSICAL COUNT OF SEMI-EXPENDABLE PROPERTY (RPCSP)

INSTRUCTIONS

A. The RPCSP is a form used to report the physical count of semi-expendable property which are owned by the agency/entity, by type of property still in the custody of the Property and/or Supply Division/Unit as at a given date. It shows the balance of semi-expendable items per card and per count and shortage/overage, if any. It shall be prepared annually and by fund by the Inventory Committee.

B. This form shall be accomplished as follows:

1. **Type of Semi-expendable Property** – semi-expendable property account name such as Semi-expendable Office Equipment, Semi-expendable Furniture and Fixtures, etc...
2. **As at** _____ – date of the report
3. **Fund Cluster** – fund cluster name/code in accordance with the unified accounts code structure
4. **Name of Accountable Officer** – name of the accountable officer or Property and/or Supply Custodian
5. **Official Designation** – official designation of the accountable officer
6. **Entity Name** – branch or office where the accountable officer is assigned
7. **Date of Assumption** – first day of assumption of the duties and responsibilities as accountable officer
8. **Article** – type of item or article (e.g., semi-expendable office equipment, semi-expendable furniture and fixtures, semi-expendable books)
9. **Description** – brief description of the article or semi-expendable property (e.g., Acer Aspire ES1-132-P2US, EFL4 4-layer lateral filing cabinet, etc.)
10. **Semi-expendable Property No.** – assigned semi-expendable property number by the Property and/or Supply Division/Unit
11. **Unit of Measurement** – unit of measurement of the semi-expendable property, e.g., piece, unit, box, etc.
12. **Unit Value** – cost per unit
13. **Balance per Card** – quantity of item/s or article/s appearing in the Semi-expendable Property Ledger Card (SPLC)
14. **On Hand per Count** – quantity of item/s or article/s per physical count
15. **Shortage/Overage** – excess of the quantity and total value of item/s or article/s per SPLC over that of the physical count (Shortage) or vice versa (Overage)
16. **Remarks** – whereabouts, conditions and other relevant information on the semi-expendable property noted during the physical count

C. The report shall be reconciled with the SPLCs and Semi-expendable Property Cards maintained by the Accounting Division/Unit and Property and/or Supply Division/Unit, respectively. Any discrepancy shall be verified and/or adjusted accordingly.

D. The report shall also be reconciled with the Registry of Semi-expendable Property Issued specifically on the returned semi-expendable property not yet reissued, to ensure the existence and completeness of all semi-expendable properties.

E. The reports hall be prepared in four (4) copies and certified correct by the Inventory Committee and approved by the Head of Agency or his/her authorized representative, and witnessed by the COA Representative. This shall be distributed as follows:

Original – COA Auditor, through the Accounting Division/Unit
Copy 2 – Property and/or Supply Division/Unit

Copy 3 – Inventory Officer/Committee
Copy 4 – Accounting Division/Unit

F. The report shall be submitted to the COA Auditor concerned not later than July 31 and January 31 of each year for the first and second semesters, respectively.

Annex A.9

REPORT OF LOST, STOLEN, DAMAGED OR DESTROYED SEMI-EXPENDABLE PROPERTY

Entity Name : _____ **Fund Cluster:** _____

Department/Office : _____
Accountable Officer : _____
Designation : _____
Police Notified : ☐ **Yes** ☐ **No** **Police Station :** _____ **Date :** _____

RLSDDSP No. : _____
RLSDDSP Date : _____
ICS No. : _____
ICS Date : _____

Status of Semi-expendable Property : (check applicable box)

☐ Lost ☐ Damaged
☐ Stolen ☐ Destroyed

Property No.	Description	Acquisition Cost

Circumstances:

_____
_____
_____
_____

I hereby certify that the item/s and circumstances stated above are true and correct.

_____
Signature over Printed Name of the Accountable Officer

_____
Date

Government Issued ID : _____
ID No. : _____
Date Issued : _____

Noted by:

_____
Signature over Printed Name of the Immediate Supervisor

_____
Date

SUBSCRIBED AND SWORN to before me this _____day of _____, affiant exhibiting the above government issued identification card.

Doc. No. _____
Page No. _____
Book No. _____
Series of _____

_____
Notary Public

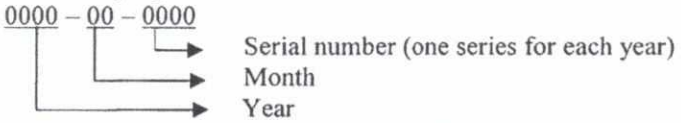
REPORT OF LOST, STOLEN, DAMAGED OR DESTROYED SEMI-EXPENDABLE PROPERTY (RLSDDSP)

INSTRUCTIONS

A. This report shall be used by the accountable officer/employee to report or notify within 30 days the officials concerned of the loss, theft, damage or destruction of the semi-expendable property whether issued or unissued. The RLSDDSP shall support the subsequent request for relief from property accountability.

B. This form shall be accomplished as follows:

1. **Entity Name** – name of the agency/entity
2. **Fund Cluster** – the fund cluster name/code in accordance with unified accounts code structure
3. **Department/Office** – place of assignment of the AO
4. **Accountable Officer** – name of employee/officer accountable to the lost, stolen, damaged or destroyed semi-expendable property
5. **Designation** – designation title of the AO
6. **RLSDDSP No.** – number assigned to the report by the Property and/or Supply Custodian for control purposes as follows:



7. **RLSDDSP Date** – date of the preparation of RLSDDSP
8. **Inventory Custodian Slip (ICS) No.** – control number assigned to the ICS by the Property and/or Supply Custodian
9. **ICS Date** – date of the preparation of the ICS
10. **Police Notified** – information on whether the police authorities were informed of the incident that occurred. Put a check "√" mark on the box for "Yes" or "No"; for "Yes" answer, indicate the police station and the date of notification/blotter (attach Police Report).
11. **Status of Semi-expendable Property** – put a check "√" mark on the box as to the status of the semi-expendable property
12. **Property No.** – property number assigned to the inventory item that was lost, stolen, damaged or destroyed
13. **Description** – brief description or details of the property including serial number, if any
14. **Acquisition Cost** – cost of the property lost, stolen, destroyed or damaged
15. **Circumstances** – background of the incident such as: time, place and the occurrence that took place including the witnesses

C. The certification of the Accountable Officer shall be as follows:

"I hereby certify that the item/s and circumstances stated above are true and correct.

_____

Signature over Printed Name of the Accountable Officer

_____

Date"

Government Issued ID : _____

ID issued: _____

Date Issued: _____

D. The Immediate Supervisor of the Accountable Officer shall affix his/her signature over printed name in the "Noted by" portion in the report.

E. The report shall be notarized.

F. It shall be prepared in four (4) copies distributed as follows:

Original	– Chief Accountant/Head of Accounting Division/Unit (for JEV preparation)
Copy 2	– COA Auditor [as required by Sec. 73(1) of P.D. No. 1445]
Copy 3	– Property and/or Supply Unit Officer
Copy 4	– Accountable Officer for file

G. All documents pertaining to the said property shall be attached to this form.

H. The Property and/or Supply Unit Officer shall indicate the fair value/replacement cost in the form and submit photocopy to the Accounting Division/Unit.

I. The Accounting Division/Unit will compute for the current replacement cost with the same condition and specifications of the lost semi-expendable property at the time of loss.

Annex A.10

INVENTORY AND INSPECTION REPORT OF UNSERVICEABLE SEMI-EXPENDABLE PROPERTY

As at _____

Entity Name: _____ **Fund Cluster :** _____

_____ _____ _____

(Name of Accountable Officer) *(Designation)* *(Station)*

INVENTORY									INSPECTION and DISPOSAL							
									DISPOSAL						RECORD OF SALES	
Date Acquired	Particulars/ Articles	Semi-expendable Property No.	Qty	Unit Cost	Total Cost	Accumulated Impairment Losses	Carrying Amount	Remarks	Sale	Transfer	Destruction	Others (Specify)	Total	Appraised Value	OR No.	Amount
(1)	(2)	(3)	(4)	(5)	(6)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)	(17)	(18)

I HEREBY request inspection and disposition, pursuant to Section 79 of P.D. No. 1445, of the property enumerated above.

Requested by:

_____
(Signature over Printed Name of Accountable Officer)

_____
(Designation of Accountable Officer)

Approved by:

_____

_____

I CERTIFY that I have inspected each and every article enumerated in this report, and that the disposition made thereof was, in my judgment, the best for the public interest.

_____
(Signature over Printed Name of Inspection Officer)

I CERTIFY that I have witnessed the disposition of the articles enumerated on this report this ____day of _____, _____.

_____
(Signature over Printed Name of Witness)

INVENTORY AND INSPECTION REPORT OF UNSERVICEABLE SEMI-EXPENDABLE PROPERTY (IIRUSP)

INSTRUCTIONS

A. The IIRUSP shall be used to account for all unserviceable semi-expendable property of an entity which is subject to disposal. It shall be prepared by the Property and/or Supply Division/Unit and used as the basis of the Accounting Division/Unit for the recognition of cash proceeds if the mode of disposal of the unserviceable semi-expendable property is through sale/public auction.

B. This report shall be accomplished as follows:
   1. **As at** _____ – the period covered by the report
   2. **Entity Name** – the name of the agency/entity
   3. **Fund Cluster** – the fund cluster name/code in accordance with the unified accounts code structure
   4. **Name of the Accountable/Designation/Station** – the name, designation and station of the Accountable Officer
   5. **Inventory**
      - **Date Acquired** – acquisition date of the semi-expendable property
      - **Particulars/Articles** – description of the semi-expendable property
      - **Semi-Expendable Property No.** – the assigned number to the unserviceable semi-expendable property
      - **Quantity** – quantity of unserviceable semi-expendable property
      - **Unit Cost** – cost per unit of unserviceable semi-expendable property
      - **Total Cost** – total amount of unserviceable semi-expendable property (Quantity x Unit Cost)
      - **Accumulated Impairment Losses** – accumulated impairment losses of unserviceable semi-expendable property
      - **Carrying Amount** – cost less accumulated impairment losses
      - **Remarks** – additional information on the semi-expendable property such as condition, status, etc.
   6. **Inspection and Disposal**
      - **Disposal** – the amount per mode of disposal such as sale, transfer, destruction, etc.
      - **Appraised Value** – appraisal assigned by the agency/entity
      - **Record of Sales** – the official receipt number and corresponding amount for the sales proceeds

C. In cases where technical knowledge is needed for the determination of the true condition or actual current value of the property to be inspected, a Technical Inspector with the required knowledge and training shall inspect the same.

D. Certain property, due to its very nature, becomes worthless as a whole, but certain parts of machinery and/or equipment, which possess intrinsic value in themselves or which may be useful in making repairs to other equipment. In such cases, and wherever practicable, the valuable part or parts of the article or equipment shall be separated from the worthless part/s for proper accounting by the Accountable Officer at their appraised valuation or for proper disposition under Sections 79 of P.D. No. 1445.

E. When the property is sold, the record of sales shall be accomplished.

I. Procedures in the Receipt, Inspection, Acceptance and Recording of Deliveries of Semi-expendable Property

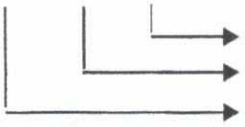
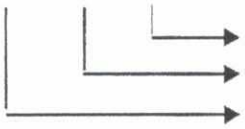
Area of Responsibility	Seq. No.	Activity
		Delivery of Semi-expendable Property
Property and/or Supply Division/Unit Property and/or Supply Custodian	1	Signs "Received" portion of the original and Copy 2 of the Delivery Receipt (DR). Files the original and returns Copy 2 of the DR to the Supplier/Procurement Service.
	2	Prepares Inspection and Acceptance Report (IAR) in four (4) copies. Forwards Copies 1-4 of IAR, original of DR, and Copy 2 of approved Purchase Order (PO) to the Inspection Officer/Committee for inspection of deliveries.
Inspection Officer/Committee	3	Inspects and verifies semi-expendable items as to quantity and conformity to specifications based on the DR and approved PO. If delivery is not in conformity to the specifications or delivery is incomplete, indicates notation on the IAR that the delivery is not in conformity to specifications and/or terms agreed under the approved PO and returns the Copies 1-4 of IAR, original of DR, and Copy 2 of approved PO to the Property and/or Supply Division/Unit. If delivery is in order, indicates the date of inspection, places check "√" mark in the box for *"Inspected, verified and found in order as to quantity and specifications"*, and signs the "Inspection" portion of the IAR. Retains Copy 2 of IAR and forwards Copies 1, 3 and 4 of IAR, original of DR and Copy 2 of PO to the Property and/or Supply Custodian for acceptance of goods delivered.
Property and/or Supply Division/Unit Property and/or Supply Custodian	4	For deliveries not conforming to specification and/or terms of the PO, receives Copies 1-4 of IAR, original of DR and Copy 2 of PO. Returns the items to the supplier and requires the latter to comply with the agreed specifications and/or terms of the PO. For deliveries in order, indicates the date of acceptance, places check "√" mark in the box for *"Complete as to quantity and specifications"* or *"Partial (please specify quantity)"*, and signs the "Acceptance" portion of the IAR. Stores the items delivered for issue to the Requisitioning Office.

Area of Responsibility	Seq. No.	Activity
	5	Forwards Copy 3 of IAR and photocopy of PO and DR to the Accounting Division/Unit for recording the received/ accepted goods and posting to the Semi-expendable Property Ledger Card (SPLC), and Copy 4 of IAR and copy 2 of PO to the Stock Card Keeper for recording in the Semi-expendable Property Card (SPC). *Note 1* – Distribution of the IAR shall be as follows: *Original* – Property and/or Supply Division/Unit (to be attached to the Disbursement Voucher (DV), together with the original DR) *Copy 2* – Inspection Officer/Committee *Copy 3* – Accounting Division/Unit (to be attached to the JEV in setting up of payables) *Copy 4* – Property and/or Supply Division/Unit file
Accounting Division/Unit Receiving/Releasing Staff	6	Records in the logbook the receipt of Copy 3 of IAR and photocopy of PO and DR and forwards to the Accounting Staff concerned for the preparation of Journal Entry Voucher (JEV).
Accounting Staff	7	Based on Copy 3 of the IAR and photocopy of PO and DR, prepares JEV to recognize the receipt of semi-expendable property in the books of accounts. Signs the "Prepared by" portion of the JEV and forwards the JEV and supporting documents to the Chief Accountant/Head of the Accounting Division/Unit for approval.
Chief Accountant/ Head of Accounting Division/Unit	8	Reviews correctness of the journal entries and signs on "Certified Correct by" portion of the JEV. Forwards JEV and other supporting documents to designated staff for recording in the General Journal (GJ).
Property and/or Supply Division/Unit Property and/or Supply Custodian	9	Prepares DV. Attaches the original IAR, Copy 2 of DR, Original copy of PO, photocopy of PR and/or Agency Procurement Request (APR) and other supporting documents. Forwards documents to the Accounting Division/Unit for the processing of DV.

Area of Responsibility	Seq. No.	Activity
		Note 2 – For the preparation of DV and processing of payment for delivered semi-expendable property items and equipment, refer to Chapter 3-Budget Execution, Monitoring, and Reporting; and Chapter 6-Disbursements of the GAM for NGAs Volume I.
		Note 3 – For purchases made through the Procurement Service (PS), the DV shall be prepared on the basis of the approved APR and/or other required supporting documents. The payment shall be made directly to the PS.
		Maintenance of SPLC
Accounting Division/Unit SPLC Keeper	10	Records receipt of delivered/accepted item/s and posts necessary information to the SPLC based on the Copy 3 of IAR, copy of PO and DR.

II. Procedures in the Requisition and Issue of Semi-expendable Property

Area of Responsibility	Seq. No.	Activity
Requisitioning Unit		
Requesting Personnel	1	Prepares Requisition and Issue Slip (RIS) in three (3) copies. *Note 1* – The RIS shall be distributed as follows: *Original* – Accounting Division/Unit *Copy 2* – Requisitioning Unit *Copy 3* – Property and/or Supply Division/Unit
	2	Fills out all the necessary information except for the 'Issue' column. Initials in the "Requested by" portion and forwards the RIS to authorized official for review.
Head/Authorized Official	3	Determines the reasonableness of the quantity and nature of item/s being requested and ensures that the same does not exceed the planned usage for the period. Signs the "Approved by" portion of the RIS.
Requesting Personnel	4	Receives signed RIS and forwards to the Property and/or Supply Division/Unit for determination of availability of stocks and/or withdrawal of semi-expendable property requested.
Property and/or Supply Division/Unit		
Property and/or Supply Custodian	5	Receives RIS from Requesting Personnel. Reviews and verifies the completeness of information. Indicates a check "√" mark in the "Stock Available? Yes" column, if item/s being requisitioned is/are available on stock, or "X" in the "Stock Available? No" column if not available. If item/s requisitioned is/are available, issues the item/s requisitioned, indicates the quantity issued in the "Issued-Quantity" column and any remarks in the "Issued-Remarks" column, and signs the "Issued by" portion. If item/s requisitioned is/are not available, returns the RIS to the Requisitioning Unit for the preparation of the PR. *Note 2* – For the issue of semi-expendable property, the Property and/or Supply Custodian shall prepare ICS. Separate ICS control number shall be assigned for low-valued and high-valued semi-expendable property. The numbering structure for ICS shall be as follows: For low-valued semi-expendable property: SPLV-0000– 00 –0000

Area of Responsibility	Seq. No.	Activity
		 For high-valued semi-expendable property: SPHV-0000– 00 –0000  For the preparation of the ICS, refer to *Appendix 59* of the GAM for NGAs Volume II. Also, the 'Issue' column of the Registry of Semi-expendable Property Issued (RegSPI) shall be updated upon issue of semi-expendable property. *Note 3* – Copy of the ICS and Summary of ICS issued and cancelled shall be submitted to the Resident Auditor, upon request for monitoring and audit purposes.
Requisitioning Unit Requesting Personnel	6	Receives supplies requested and signs in the "Received by" portion of the RIS or ICS as the case may be. *Note 4* – For items not available on stock, prepares the Purchase Request (PR) in accordance with the instructions provided at the back of the form.
Property and/or Supply Division/Unit Property and/or Supply Custodian	7	Files permanently in numerical order Copy 3 of RIS and temporarily the originals of RIS and ICS for the preparation of Report of Semi-expendable Property Issued (RSPI).
	8	Retrieves the original copies of RIS and ICS from temporary file, ensures the completeness of the RIS and ICS and prepares the RSPI in two (2) copies at the end of the day.
	9	Signs the "Certified by" portion of the RSPI.
Stock Card Keeper	10	Receives signed RSPI and forwards to the Accounting Division/Unit the original copy of RSPI together with original copy of all RIS and Copy 3 of all ICS covered by the RSPI. Files Copy 2 of RSPI. Records the issued semi-expendable property in the SPC based on the supporting documents.
Accounting Division/Unit Accounting Staff	11	Receives the original copies of RSPI together with original copy of all RIS and Copy 3 of all ICS covered by the RSPI.

Area of Responsibility	Seq. No.	Activity
		Checks and verifies the completeness of information. Retrieves SPLC from file and fills out the "To be filled out in the Accounting Division/Unit" portion of RSPI. Records the RSPI in the SPLC and signs in the "Posted by/date" portion.
	12	Prepares JEV in two (2) copies based on the RSPI to recognize the issue of SP.
	13	Signs the "Prepared by" portion of the JEV and forwards JEV and supporting documents to the Chief Accountant/Head of the Accounting Division/Unit for review and approval.
Chief Accountant/Head of Accounting Division/Unit	14	Reviews correctness of the accounting entry and completeness of supporting documents. If in order, signs the "Certified Correct by" portion of the JEV and forwards Copies 1 and 2 of JEV to the Bookkeeper. If not in order, returns the JEV and supporting documents to the Accounting Staff concerned for correction.
Accounting Staff	15	Receives JEV and supporting documents for the correction of accounting entry. Returns the JEV and supporting documents to the Chief Accountant/Head of the Accounting Division/Unit for approval.
Bookkeeper	16	Receives signed JEV supported with the RSPI and RIS/ICS and records JEV in the GJ. Files copy 2 of JEV.
		Note 5 – For succeeding activities, refer to policy on the Preparation and Submission of Trial Balances, Financial Statements and Other Reports in Chapter 19-Financial Reporting of the GAM for NGAs Volume I.

III. Procedures on the Transfer, Return, Re-issue and Disposal of Semi-expendable Property

Area of Responsibility	Seq. No.	Activity
		Transfer of Semi-expendable Property to another Accountable Officer/Agency/Fund Cluster
Property and/or Supply Division/Unit Property and/or Supply Custodian	1	For the transfer of semi-expendable property to another Accountable Officer/Fund Cluster, prepares Inventory Transfer Report (ITR) in four (4) copies and forwards them together with other supporting documents to the Head of the Property and/or Supply Division/Unit/ Immediate Supervisor for approval. For the transfer of semi-expendable property to another Agency, forwards the ITR and its supporting documents to the Head of Agency for approval.
Head of the Property and/or Supply Unit/Immediate Supervisor	2	Reviews, approves, and signs the ITR for the release or issue to another Accountable Officer/Fund Cluster. Forwards the approved ITR to the releasing officer of the Property and/or Supply Division/Unit
Releasing Officer	3	Signs the 'Released/Issued by' portion of the ITR and affix the date of release. Forwards the ITR to the new accountable officer for the receipt of the ITR, together with semi-expendable property transferred.
New Accountable Officer	4	Receives the transferred semi-expendable property and signs in the 'Received by' portion of the ITR. Keeps the Copy 2 of the ITR for file. Returns the Original Copy and Copies 3 and 4 to the Property and/or Supply Division/Unit. *Note 1* – The completed ITR shall be distributed as follows: *Original* – Chief Accountant or Head of Accounting Division/Unit *Copy 2* – Recipient or user of the semi-expendable property *Copy 3* – Transferring agency/entity or user/officer *Copy 4* – Property and/or Supply Division/Unit file
Property and/or Supply Division/Unit		

Area of Responsibility	Seq. No.	Activity
Property and/or Supply Division/Unit Property and/or Supply Custodian	11	Receives the three (3) copies of RRSP and the semi-expendable property returned by the accountable officer.
	12	Signs the 'Received by' portion of the RRSP. Returns the Original Copy of RRSP to the Accountable Officer from the Requisitioning Unit and forwards Copy 3 to COA Auditor concerned.
	13	Records the return of semi-expendable property in the 'Returned' column of the RegSPI.
	14	Cancels immediately the corresponding issued ICS for the returned semi-expendable property.
	15	Evaluates the returned semi-expendable property whether it can be reissued to another accountable officer or for disposal.
		Re-issue of Semi-expendable Property
Property and/or Supply Division/Unit Property and/or Supply Custodian	16	If found serviceable, prepares ICS for the re-issue to the new end-user. The procedures for the issue of semi-expendable property provided in Part II of Annex B shall be applied. The 'Re-issue' column of the RegSPI shall also be updated upon re-issue. Forwards the re-issued semi-expendable property and the original copy of the new ICS to the new end-user/accountable officer.
New Requisitioning Unit New Requesting Personnel	17	Receives the re-issued semi-expendable property and the original copy of the new ICS.
		Disposal of Semi-expendable Property
Property and/or Supply Division/Unit Property and/or Supply Custodian	18	If found to be for unserviceable and for disposal, prepare the Inventory and Inspection Report of Unserviceable Semi-expendable Property (IIRUSP) for the actual disposal of the unserviceable semi-expendable property.
	19	Forwards a copy of IIRUSP to the Accounting Unit for the derecognition of unissued semi-expendable property disposed

Area of Responsibility	Seq. No.	Activity
		and recognition of cash proceeds if the mode of disposal is through sale/public auction. *Note 5* – The IIRUSP shall be distributed as follows: *Original* – Accounting Division/Unit *Copy 2* – Property and/or Supply Custodian's file *Copy 3* – COA, TSO, for inspection of semi-expendable property that requires evaluation by experts
Accounting Division/Unit		
Receiving/Releasing Staff	20	Records in the logbook the receipt of Original Copy of the IIRUSP and other supporting documents and forwards to the Accounting Staff concerned for the preparation of JEV for the derecognition of unissued semi-expendable property disposed and recognition of cash proceeds if the mode of disposal of unserviceable semi-expendable is through sale/public auction.
Accounting Staff	21	Based on IIRUSP and other supporting documents, prepares JEV for the derecognition of unissued semi-expendable property disposed and to recognize the cash proceeds if the mode of disposal of unserviceable semi-expendable is through sale/public auction. Signs the "Prepared by" portion of the JEV and forwards the JEV and supporting documents to the Chief Accountant/Head of the Accounting Division/Unit for approval.
Chief Accountant/ Head of Accounting Division/Unit	22	Reviews correctness of the journal entries and signs on "Certified Correct by" portion of the JEV. Forwards JEV and other supporting documents to designated staff for recording in the GJ.
Designated Staff	23	Records the disposed unissued semi-expendable property, and cash proceeds from sale of the unserviceable semi-expendable property, in the GJ based on the JEV prepared. *Note 6* – For succeeding activities, refer to policy on the Preparation and Submission of Trial Balances, Financial Statements and Other Reports in Chapter 19-Financial Reporting of the GAM for NGAs Volume I.
		Maintenance of SPLC
Accounting Division/Unit		
SPLC Keeper	24	Records the disposal and posts necessary information to the SPLC based on appropriate source documents.